

strengthening the rupee.

On April 1, the RBI barred banks from offering rupee non-deliverable forward (NDF) contracts to corporate clients. This measure was partially withdrawn on April 20. An NDF is a financial derivative used to hedge or speculate on currency exchange rates. These contracts are typically settled in cash, unlike traditional forward contracts, where actual currencies are exchanged when contracts mature.

The move helped close the arbitrage window that had opened between onshore and NDF markets after the previous directive, which had led to a surge in corporate interest as banks unwound their positions, according to Radhika Rao, Senior Economist and Executive Director at Singapore-headquartered DBS Bank. It is estimated that close to \$40 billion in arbitrage positions were unwound ahead of the RBI's April 10 deadline.

Subsequently, the RBI is reported to have curbed oil marketing companies' (OMCs') dollar demand, reducing dollar purchases in the spot market and asking them to use a credit line with State Bank of India instead.

Will the rupee still see volatility in the coming weeks? It depends on the conflict in West Asia.

Should the tensions escalate and oil prices remain above \$100 a barrel for some time—as restoring supplies disrupted by the conflict may take time—the Indian economy will remain under pressure. This is because the country imports close to 85% of its crude oil requirements.

The rising import bill has increased demand for dollars and contributed to currency pressures. At the same time, global



“They (RBI’s measures) are not signalling any structural change. These are not measures that are going to remain there forever”

SANJAY MALHOTRA
GOVERNOR,
RESERVE BANK OF INDIA



“Authorities will be careful to not allow the rupee to correct sharply for fear of hurting purchasing power, investor confidence, and spurring inflationary pressures”

RADHIKA RAO
SENIOR ECONOMIST &
EXECUTIVE DIRECTOR,
DBS BANK

financial yields have tightened, with elevated yields and more cautious investor behaviour affecting capital flows, say analysts.

So far, the government has ensured that the high oil prices are not passed on to consumers at the fuel pump. The government recently slashed the excise duty on petrol and diesel. However, the rise in prices may eventually have to be passed on to consumers. This will not only raise fuel prices, but also increase costs for multiple sectors, fuelling a broad-based inflation.

India's current account deficit may widen too. “If we assume that the price of oil remains over \$100 per barrel, we can expect the current account deficit moving towards 1.5-2%. (Should the conflict drag on), we could also expect remittances to slow down. It may not be very significant, but it will be down,” says Madan Sabnavis, chief economist at Bank of Baroda.

The West Asia region, particularly the Gulf Cooperation Council countries, accounts for over a third of remittances to India.

While external conditions are a worry, India's domestic fundamentals have remained strong so far. The RBI projects gross domestic product to grow 6.9% in the current financial year, which will mean that India will remain among the fastest growing major economies. However, the growth this year will be slower than the 7.6% that India is expected to have clocked in FY26.

Once the conflict ends, Sabnavis says foreign fund flows could return, given the strong growth economic prospects. However, the rupee will remain under pressure should the tensions continue. He expects the rupee to trade in